

# PITCH — LZ — ADJUDICATED

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**RULING (2026-09-01, Fable adjudication): MINIMUM STARTER 0.25% RATIFIED, tightened — entry band  $\leq$ \$6.00 (tape \$6.26 at ruling; band tripwire, same-session staging on touch — not a resting order). Single tranche, no adds before the ~Nov 4 print.**

**What the adjudication changed vs the bench proposal below:** - **Red's REJECT overturned on a data-tier error:** its “record formations = share loss” kill used total Census formations (+18%) — the *addressable* high-propensity tier grew only +1.9%. The tier mismatch is now a cataloged screen detector. - **The unresolved number is now the named KILL-VARIABLE:** the unexplained July +3.81M share-count jump (cover page vs balance sheet). If the Q3 10-Q shows it was net issuance, the starter is killed — this must read clean before any fill stands. - **Post-print gates (pack LZ|2026-11-04):** add to 0.5% on transaction units flat-or-up AND subscription units  $\geq$ 1.85M; exit on formations  $< -8\%$  with partner orders  $< 11\%$ . - Kill audit at close: **0 novel / 2 consensus** at  $\sim 8.5\times$  SBC-adjusted EBITDA  $\rightarrow$  consensus-kill-symmetry minimum starter. AI-ate-the-funnel is real and priced; the partner channel scaling 4%  $\rightarrow$  11% is the gradeable replacement thesis.

*The bench pitch below is preserved as written (pre-adjudication).*

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## What we believe

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LegalZoom sells business formation (setting up an LLC or corporation) and then sells those customers ongoing subscriptions — registered agent, compliance filings, tax and legal help. For years the customers arrived free, through Google search. That funnel broke. Management itself calls it a “structural step down,” not a dip.

What we believe is narrower than “the selloff is overdone”:

1. **The business underneath is not melting.** Formations fell about 5% year over year ( $\sim 125,000$  in the quarter). But total transaction units rose about 1%, to roughly 281,000. Subscription revenue rose 11%, and that growth is clean — the Formation Nation acquisition closed in February 2025, so it is already inside the year-ago comparison. Subscription units fell 3%, but the company says that is a deliberate decision to stop bundling cheap subscriptions into formation packages; revenue per subscriber rose 5%. Fewer, better-paying customers is a choice, not churn.
2. **A replacement channel is visibly scaling.** Orders sourced through partners (USAA, AAA, PayPal, Adobe) went from 4% of total to 11% of total in a year. Assisted, human-in-the-loop services are now about 65% of subscription revenue and over 40% of total revenue. That is a

different business from “we rank first on Google for ‘how to form an LLC’” — and it is the part machines do not trivially replace.

3. **The cash is real and the share count is genuinely shrinking.** Cash from operations in the first half was \$86.8M versus \$89.8M a year ago — down 3.4% — but that came *while* the stock-compensation add-back fell \$15.5M. Strip that out and underlying cash earnings improved. Shares outstanding on the cover of the filings went from 180.2M to 171.3M year over year, down 5.0%. \$167.2M of cash, no debt.
4. **The price is fair, not cheap.** At \$5.995 the enterprise value is about \$875M. Against roughly \$102.5M of earnings after charging the full ~\$90M annual stock compensation as the real cost it is, that is about 8.5 times. Free cash flow after charging stock comp is roughly \$59.7M — a 6.8% yield on enterprise value.

So the belief is: **this is a fairly-priced, cash-generative, shrinking-share-count business where the disaster narrative is louder than the disclosed numbers.** That is worth a small position to hold the seat and force ourselves to watch it. It is not worth a real one.

## What the market believes

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The stock is down about 52% from its 52-week high of \$12.40, and sits \$5.995 — only 14.8% above the 52-week low of \$5.22, and that bounce is fading, not holding.

The market’s story is simple and, importantly, *correct on the mechanism*: Google’s AI answer boxes now answer “how do I form an LLC” directly, so the free traffic that fed LegalZoom’s funnel is gone and is not coming back. Management agreed with this on the call. From there the market extrapolates: formations decline forever, subscriptions eventually follow because subscriptions are fed by formations, and a business built on a dead acquisition channel is worth very little.

The market is not confused. It has the right cause. The question is only whether it has the right *slope* — permanent decay of the whole company, or a shrinking front door attached to a growing, higher-value back end that is now being fed from somewhere else.

## Why we might have edge

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Honestly: our edge here is thin and mostly consists of having read the actual disclosure instead of the headline.

- **The unit picture is a mix rotation, not a melt.** Almost every write-up leads with “formations –5%.” Total transaction units +1% is in the same release and gets almost no airtime. If you only know the formation number, you think the whole funnel is collapsing.
- **The subscription unit decline is self-inflicted on purpose.** Both of our own benches initially read –3% subscription units as customers leaving. It is disclosed as a deliberate pruning of low-value bundled subscriptions, alongside +5% revenue per subscriber. That is the difference between a company losing customers and a company firing bad ones.
- **The partner channel is measurable and nearly tripled.** “There is no replacement for search” is a testable claim, and the filing tests it: 4% → 11% of orders. Not proof of a durable replacement, but proof that the replacement effort is not vapor.

- **The valuation multiple everyone quotes is wrong in both directions.** The headline “4.7x EBITDA” screen number is an artifact — it treats ~\$90M/year of stock compensation as free. Charge it and you get ~8.5x. Our first internal pass said 9.5x, which was also wrong (it used a stock-comp base inflated by a one-time second-half-2025 spike). The truth is in between and it is *fair*. Knowing the number is fair, rather than either “screaming cheap” or “expensive,” is a real if unglamorous edge — it stops us from buying a value trap and from dismissing a decent business.

What is **not** edge: the funnel-impairment story. Our own red team put it forward as a novel insight — “LegalZoom is losing share into a record market, not suffering a cycle” — and our blue team knocked it down as a restatement of the consensus in new clothes. Blue is right. Management has already conceded there is no cycle to wait for. Saying “it’s share loss, not a cycle” adds nothing the market hasn’t priced.

## Why it might be priced in

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Most of it probably is.

- **The mechanism is public and management-endorsed.** When the CFO says “structural step down,” there is no informational gap left to arbitrage on that axis.
- **8.5x with the front door shrinking 5% a year is not a bargain.** Our blue bench, which is the side arguing *for* the position, wrote this against itself: “at 8.5x with formations still –5%, this is not cheap.” A 6.8% cash yield on a business with a declining core unit is roughly what it should be worth. There is no obvious mispricing to collect.
- **The bounce already happened, partly.** We are 14.8% off the low, not sitting on it.
- **Free cash flow is fully committed.** Trailing twelve months: \$149.1M spent on buybacks against roughly \$149.7M of free cash flow, plus \$38.7M of cash paid out to cover employees’ taxes on vesting stock. There is no spare cash for anything else — no dividend, no transformative acquisition, no cushion for a bad year. The buyback is real and shares are down 5%, but it is not a bonus on top of the business; it *is* what the business does with all of its cash.
- **The starter exists partly because of our own rule, not our own conviction.** Our process says: if the adversarial review produces no genuinely new reason to say no, don’t default to zero — take a minimum position. That is what happened here. Zero new kills survived; two consensus kills did. A rule-generated position is a weaker thing than a conviction-generated one, and this deck should not pretend otherwise.

## What could go wrong

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### **Failure narrative 1 — The back end follows the front end, just later (has a tripwire).**

Subscriptions are fed by formations. Formations are down 5% and structurally impaired. Today the subscription line grows on price increases (+5% revenue per subscriber) and a cleaner mix. Both of those are one-time levers. Twelve to eighteen months out, the smaller cohort of new formations flows through into subscription units, price increases hit customer tolerance, and the +11% subscription growth turns negative. We buy an 8.5x multiple on earnings that are about to

shrink, and 8.5x becomes 12x without the stock moving. *Tripwire*: subscription units below 1.85M, or subscription revenue growth decelerating below ~5%, at the November or February print.

**Failure narrative 2 — The partner channel is a worse business than the search channel it replaces (has a partial tripwire).** Partner orders went 4% → 11%. What we do not have is what LegalZoom pays for them. Search traffic was free. Partner traffic is revenue-shared. If the replacement channel carries a 30–40% cost of acquisition that the free channel did not, then “we replaced the funnel” is true and margins still compress, permanently. The company reports the percentage of orders, not the economics behind them. *Tripwire (partial only)*: gross margin or marketing expense as a percent of revenue drifting adversely for two consecutive quarters. This is a lagging, noisy signal — it will confirm the damage after it happens, not before.

**Failure narrative 3 — Partner concentration behind an aggregated number (NO MONITORABLE TRIPWIRE).** The 11% partner figure is an aggregate covering USAA, AAA, PayPal, and Adobe. We do not know the split, the contract terms, the renewal dates, the exclusivity, or the economics. If one partner is most of that 11% and does not renew — or renews on worse terms, or builds the capability itself — the entire “replacement channel” leg of this thesis disappears with no advance warning. Partner contracts of this size are not individually material enough to require an 8-K, they will not appear in a Form 4 or a 144, and they will not show up in any government series we track. We would learn about it when the number stops growing, one to two quarters late, with the stock already reflecting it. **Unknown-unknown class named: undisclosed counterparty-contract cliff hidden behind an aggregated disclosure metric.** This is the same class as a customer-concentration blowup at a company that reports “top 5 customers” only in aggregate — the exposure is real, the disclosure is legally sufficient, and there is no sensor that can be built for it from public sources. We are accepting this risk blind. That is the strongest argument for the position being small.

**The reflexive and structural leg — our own size, our own flow, our own rules.**

- *Our size versus the market's*: at  $\leq 0.25\%$  of book, our order is trivially small relative to LZ's daily trading. We will not move the price, we will not have trouble getting out, and we cannot be the marginal buyer holding it up. (Note: we have **not** pulled LZ's actual average daily volume — this is an assertion from the stock's profile, not a measurement. Flagged below.) The reflexive risk here is the *inverse* of the usual one: the position is too small to matter to P&L, which means its main cost is attention and a portfolio slot, not capital.
- *We are not front-running our own flow*: nothing about this trade creates the selling we would be buying into. The predicted flow — continued company buybacks — runs *with* us, not against us. The one flow risk we cannot size is the August Form 4 / 144 insider cluster: five filings across August 17–21 that we were unable to read (the filing bodies returned errors). If that is a coordinated insider distribution rather than routine scheduled sales, we would be buying into supply. We do not know. Unscored.
- *Doctrine interaction — the rule is doing the work*: our minimum-starter default fires when adversarial review produces no new reason to say no. It fired here. But the reason it fired is that the *only* kill offered was a restatement of consensus — which is a statement about the quality of our own analysis as much as about the stock. A rule designed to stop us from over-

rejecting can also manufacture positions in names nobody actually wants. If we take this starter, we should count it honestly as a rule-generated holding.

- *Doctrine interaction — no options, taxable account:* nothing here qualifies for premium selling; there is no event-driven volatility to sell and no existing position to write against. This is common stock only, and it starts a short-term tax clock.
- *Doctrine interaction — the fair-not-cheap admission:* our own framework says we can own fairly-paid risk when fairness is verified and the tails are bounded. Fairness here rests on one number we have not independently verified (below). Until that is verified, “fairly paid” is an assumption, not a finding.

If this position loses money, the most likely reason will be that the front door and the back end were never separable — the 5% formation decline flows through into subscription units and pricing power within four to six quarters, the partner channel turns out to be a lower-margin rental of someone else’s customers rather than an owned replacement, and the 8.5x multiple we called fair was fair only for earnings that were already beginning to erode.

## What we checked ourselves

| Claim                               | How checked                                       | Found                                                                                                                                                                | Confirmed?                                                                                                                                                                                                                                                                                                                                                                                              |
|-------------------------------------|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Price and drawdown                  | Broker quote in the evidence pack                 | \$5.995; –51.7% from the \$12.40 high; +14.8% above the \$5.22 low                                                                                                   | <b>Confirmed.</b> <i>Our red bench priced off \$6.26 and +19.9% — stale, and stale in the direction that flattered its own “the panic already retraced” argument. Our own automated check flagged this mismatch. Blue caught it and repriced.</i>                                                                                                                                                       |
| “Losing share into a record market” | Census Business Formation Statistics, July 2026   | Total applications 578,926 — a record. But the tier that actually becomes a paying customer, high-propensity applications, was 151,857, up only ~1.9% year over year | <b>Data confirmed, conclusion overturned.</b> <i>Our red bench cited the record total and called the gap ~7 points. It used the wrong series: the record lives in low-propensity tax-ID filings that never buy anything. The addressable market grew ~2%, not ~18%. Our red bench also framed this as a novel insight when management had already conceded the same point on its own earnings call.</i> |
| Shares outstanding                  | Filing cover page and balance sheet, primary XBRL | Cover: 171,264,812 at 7/31/26. Balance sheet: 167,451,000 at 6/30/26.                                                                                                | <b>Confirmed as fact; cause unknown.</b> <i>An earlier internal brief said</i>                                                                                                                                                                                                                                                                                                                          |

| Claim                                    | How checked                                    | Found                                                                                                               | Confirmed?                                                                                                                                                                                                                                                                                                                                                                                                                         |
|------------------------------------------|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                          |                                                | A month-over-month increase of 3.81M shares during an active buyback                                                | <i>the count was overstated by 2.3% “in our favor” — flatly wrong; the market cap is higher, not lower. Red caught this and was right. But red called it near-fatal; it is \$22M of enterprise value, 2.4% — a sizing issue. Year over year the cover count fell 5.0%, so the buyback is working.</i>                                                                                                                              |
| Stock compensation is partly a cash cost | XBRL: cash paid for tax withholding on vesting | \$40.4M in FY25, \$38.7M trailing twelve months, against ~\$114M of reported stock comp — about 36% settles in cash | <b>Confirmed as a fact.</b><br><i>But red then added this \$38.7M on top of a full ~\$90M stock-comp charge already deducted from earnings — charging the same compensation twice. Blue caught the double count. Corrected.</i>                                                                                                                                                                                                    |
| Valuation multiple                       | Enterprise value rebuilt at the current price  | \$875M enterprise value ÷ ~\$102.5M = <b>8.5x</b>                                                                   | <b>Confirmed arithmetic — but see the denominator warning below.</b> <i>Three different numbers were produced in this process: 4.7x (headline screen, treats stock comp as free — an artifact), 9.5x (our first pass, used a stock-comp base inflated by a one-time spike), 9.0x (red, at the stale \$6.26), 8.5x (final). Red self-corrected its own inflated base without being asked. That was the best work in the review.</i> |
| Underlying cash earnings                 | XBRL cash flow statement                       | First-half operating cash flow \$86.8M vs \$89.8M — down 3.4%, but with the stock-comp add-back \$15.5M smaller     | <b>Confirmed.</b> Cash earnings excluding stock comp improved. This is the single best fact in the file.                                                                                                                                                                                                                                                                                                                           |

| Claim                                     | How checked                                | Found                                                                                                                                                                                 | Confirmed?                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Deferred revenue is propping up cash flow | Contract liability balance                 | \$221.2M at 6/30/26, above the \$167.2M cash balance — but the trailing-twelve-month build is only +\$7.3M                                                                            | <b>Overtured.</b> An earlier brief treated this as a major cash prop; it is not. It is a latent risk if customers churn, not a current flatter.                                                                                                                                                                                   |
| Subscription +11% is bought, not earned   | Acquisition disclosures and press releases | The \$48.5M FY25 cash line is <b>Formation Nation</b> (~\$83.2M total), closed <b>February 10, 2025</b> — already inside the year-ago quarter. The +11% is a clean organic comparison | <b>Overtured.</b> <i>Red attributed this to LawPath and misread the filing tag — LawPath appears only as a minority equity investment, not a consolidated purchase. Blue caught it. Blue's own write-up garbled the closing date mid-sentence before correcting itself.</i>                                                       |
| Total units are melting                   | Q2 2026 results release                    | Transaction units <b>+1%</b> to ~281,000 while formations fell 5%                                                                                                                     | <b>Confirmed — and it is fatal to the central bear frame.</b> <i>Neither bench found this until the second pass. Our red team never opened the operating metrics beyond the formation line — it attacked the easy accounting legs (three of its ten findings were one restated cash ledger) and skipped the load-bearing one.</i> |
| Subscription units –3% = churn            | Q2 2026 disclosure                         | Disclosed as a deliberate shift away from low-value subscriptions bundled into formation packages; revenue per subscriber +5%                                                         | <b>Overtured.</b> <i>Both of our benches initially read a management decision as customer loss.</i>                                                                                                                                                                                                                               |
| Is there any replacement channel?         | Q2 2026 disclosure                         | Partner orders 11% of total, up from 4%; human-assisted services 65% of subscription revenue, >40% of total                                                                           | <b>Confirmed.</b> Red asserted “no recovery option” while a disclosed substitute channel had nearly tripled.                                                                                                                                                                                                                      |
| August insider filings                    | Attempted to retrieve five Form 4 filings  | Accession numbers retrieved; the filing bodies would not load                                                                                                                         | <b>Not confirmed — unscored.</b> Cannot say whether these are routine scheduled sales or something else.                                                                                                                                                                                                                          |

| Claim                   | How checked                          | Found                                       | Confirmed?                                                                                                            |
|-------------------------|--------------------------------------|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| App-based demand signal | Ran our app-review-velocity detector | Could not resolve the LegalZoom app listing | <b>Not confirmed.</b> Note it would under-read demand anyway, since 11% of orders now come through partners, off-app. |

**Where our process itself erred, in one line each:** stale price used by the bench making a price-anchored argument; wrong tier of a government statistic used to manufacture a “record market” gap; one compensation expense charged twice; an acquisition attributed to the wrong company; and, most importantly, *both* benches spent their first pass on the accounting and neither opened the operating metrics — where the actual answer was.

## PROPOSED ENTRY BANDS

The two benches did not agree. Both positions are stated. Nothing below is armed; all of it is a proposal.

**Blue bench (position: take it).** Minimum starter,  $\leq 0.25\%$  of book, single tranche, at market, ~\$5.995. Rationale: at 8.5x this is fair, not cheap — so this is a small holding for the information and the seat, not for the return. **Hard gate: no adds of any size before the November print, at any price.**

**Red bench (position: no entry).** No starter at all. Red’s conviction in its own kill was 7/10, capped by the fact that underlying cash earnings improved. After blue’s audit, red’s decisive finding did not survive — but red’s stated conditions for reopening remain the right list, so they are reproduced as the reopen bands:

- Formations flat or better at the November print *while* the national high-propensity formation series is flat or down (that would convert share loss back into a cycle);
- Subscription units at or above 1.9M sequentially, with organic subscription revenue disclosed separately;
- The July +3.81M share increase explained as a one-time vesting event, with the Q3 count back below 167.5M;
- FY27 operating expense showing the promised ~\$14M of savings with stock compensation running below \$70M/year.

**Proposed levels (all derived from the benches’ own arithmetic, at ~171.3M shares, \$167.2M cash, the \$15.1M enterprise-value bridge item, and ~\$102.5M of stock-comp-adjusted earnings):**

| Level   | Price         | What it means                                       | Proposed action                                              |
|---------|---------------|-----------------------------------------------------|--------------------------------------------------------------|
| Starter | $\leq \$6.05$ | ~8.5x — fair. Buying for the seat, not the discount | $\leq 0.25\%$ of book, one tranche — only after adjudication |

| Level                            | Price         | What it means                                                                                     | Proposed action                                                                                                                        |
|----------------------------------|---------------|---------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| Reassess                         | <b>\$5.38</b> | 7.5x; cash yield rises to ~7.8%                                                                   | <b>No automatic add.</b> Re-court the name. Blue's no-add-before-November gate holds                                                   |
| Danger                           | <b>\$5.22</b> | The 52-week low. A break makes a new low                                                          | <b>Not a discount — a signal.</b> Forced re-court. A new low with formations deteriorating is red's thesis being confirmed, not a sale |
| Deep value                       | <b>\$4.78</b> | 6.5x                                                                                              | Only relevant if the November print is clean. Otherwise it is cheap for a reason                                                       |
| Trim / exit on strength          | <b>\$6.87</b> | 10x on the same earnings — no longer fair, and nothing in the business has improved to justify it | <b>Exit the starter</b> absent an operating improvement                                                                                |
| Exit on fundamentals             | any price     | Formations worse than –8% <b>and</b> partner orders back below 11%                                | <b>Exit</b>                                                                                                                            |
| Add conditions (post-print only) | —             | Transaction units flat or up <b>and</b> subscription units ≥1.85M at the November print           | Only then does an add become discussable                                                                                               |

**Catalyst dates: - 2026-11-04 — Q3 2026 results.** This date comes from a market-data vendor, **not from the company**. No company press release names it. Treat as unconfirmed until an 8-K or investor-relations release confirms. Roughly 45 trading days out — far outside the window where we would restructure a position ahead of a print. Pre-print posture: starter only, no adds. - **Monthly — Census Business Formation Statistics.** The high-propensity series is the correct one to watch (not the headline total). Next release date **unconfirmed** — must be pulled from the Census release calendar before arming; the July data was published 2026-08-12. - **No other dated catalyst exists.** No debt maturities, no lockups, no offerings, no pending transaction.

**Sizing rationale, plainly:** ≤0.25% is what you own when the analysis produced no new reason to say no *and* no new reason to say yes. It is a position sized to a rule, not to a conviction.

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.38 (deck-provisional: 7.5x stock-comp-adjusted earnings on the bench's own EV bridge; reassessment level only, no automatic )

- filing watch: 8-K until 2027-02-27 (deck-provisional: company confirmation of the Q3 earnings date, which our current 2026-11-04 is not (vendor-derived, unc)
- dated pack LZ|2026-11-04: LZ: Q3 2026 results - vendor-derived date, no company release names it; hard no-add gate until it passes (date confirmed=False)
- dated pack LZ|2026-09-16: LZ: Census Business Formation Statistics monthly release (high-propensity series) - DATE IS AN ESTIMATE, must be pulled from the Census rele

## What remains unverified

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### Blocking — resolve before any order:

1. **The earnings denominator.** Both benches valued the company using **\$192.5M** as trailing-twelve-month adjusted earnings before charging stock compensation. That figure is **exactly equal**, to the dollar, to the Q2 2025 *revenue* line in the evidence pack (\$192,509,000). That collision may be a coincidence, or it may be a transcription error that propagated through both benches unchallenged. It is the single load-bearing number in the entire valuation: if it is right, the multiple is 8.5x and the position is fair; if the true figure is nearer ~\$150M, the multiple after charging stock compensation is roughly **14.6x** and there is no case for owning this at all. **Neither bench sourced this number to a citation.** The proposed starter must not be placed until this is verified against the company's own reported adjusted EBITDA reconciliation in the Q2 press release or 10-Q. If it fails, this deck reverts to red's position: no entry.
2. **The \$15.1M item in the enterprise value bridge.** Added by both benches without explanation — presumably lease or other liabilities. Small (1.7% of enterprise value), but unsourced.

### Material but not blocking:

3. **The +3.81M July share increase.** Fact confirmed; cause unknown. A large vesting event and net new issuance during a buyback look identical from outside. Resolves at the Q3 filing.
4. **The August 17–21 Form 4 / 144 cluster.** Five filings, bodies unreadable through our retrieval path. Could be routine scheduled sales. Could be coordinated distribution. Unsourced — meaning it is currently counted neither for nor against.
5. **Partner channel economics.** We know 11% of orders. We do not know the acquisition cost, the revenue share, the concentration among the four named partners, or a single contract term or renewal date.
6. **Organic versus acquired subscription growth.** The company does not break it out. We believe the +11% is clean because Formation Nation closed in February 2025 and is therefore in both periods — that is an inference from the closing date, not a disclosed figure.
7. **The exact July year-over-year change in high-propensity business applications.** We have the level (151,857) and an approximate year-over-year figure (~+1.9%). The precise number was not retrieved — the government data endpoint returned errors.
8. **The November 4 print date.** Vendor-derived. Not confirmed by the company.
9. **LZ average daily volume.** Never measured; our “we’re too small to move it” claim is an assertion.
10. **App demand signal.** Our app-review detector could not resolve the LegalZoom listing. Even resolved, it would under-read demand now that 11% of orders come through partners.

**A note on data access:** the SEC's website blocked our direct requests during this review; both benches reached the primary filings through a proxy. The filing contents are primary and quotable — but the retrieval path is fragile and is itself a standing infrastructure gap.

Primary source, quotable over any secondary summary:

<https://www.sec.gov/Archives/edgar/data/1286139/000128613926000031/lz-20260630.htm>

(Form 10-Q for the quarter ended 2026-06-30, filed 2026-08-05).

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*immediate\_entry is null deliberately: the verdict is PROPOSED — PENDING ADJUDICATION, and the starter is additionally contingent on verifying the \$192.5M earnings denominator flagged as blocking item 1. Nothing should auto-arm from this deck except the sensors.*